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One of my research forays at the IMF was into the costs and benefits of foreign aid. This was work done with Arvind Subramanian, the Indian government's current Chief Economic Advisor. This work was controversial because it went against the received wisdom in developmental institutions that aid was tremendously beneficial. This 2005 piece reports on that joint research.

Aid and Growth: The Policy Challenge

Now that developed countries and international financial institutions have committed themselves to writing off the debt of highly indebted poor countries, the challenge will be to convert these resources into actual growth and faster progress toward the Millennium Development Goals. While for some it may seem that the war against poverty can be won simply by getting rich countries to provide more debt relief and aid, the view of experts – including those behind recent reports by the UK Commission for Africa and the Millennium Project – is that this is just one of the necessary ingredients. It is early days yet in the campaign to make poverty history. If it is to succeed, we have to recognize the failures of the past as well as be open-minded about the solutions for the future. And the first thing to recognize is the checkered history of aid.

AID AND GROWTH

The best way to get the poor in low-income countries out of poverty is to strengthen economic growth in those countries. To the layperson, this may just mean sending these countries more aid. Yet one point about which there is general agreement amongst economists is that